

Despite its many possible uses, absolute momentum has yet to attract the attention it deserves as an investment strategy and risk management tool. We have developed variations of and enhancements to 12-month absolute momentum that go beyond the scope of this introductory paper. Yet all investors would do well to become familiar with absolute momentum, since, even in its simplest form as presented here, absolute momentum can be an attractive stand-alone strategy or a powerful tactical overlay for improving the risk-adjusted performance of any asset or portfolio.